

Highlights from the Call with the Litigator

- After pitching the original idea, the lawyer mentioned that on paper the concept sounds very helpful, even for lawyers.
- Compliance checks are usually handled by company secretaries (CS). If something goes wrong and the matter goes to court, the case is typically handled by litigators.
- Small businesses often pay between ₹10,000–₹50,000 per month to a lawyer or law firm. These engagements are usually yearly contracts with law firms.
- Once a company crosses a certain turnover threshold or faces a major compliance issue, they usually stop outsourcing and hire an in-house legal team.
- The main reason companies prefer in-house lawyers is that they can control the pace of work, which is not possible when working with third-party law firms.
- When compliance work is outsourced to a company secretary or compliance firm, a lot of development time is lost on compliance-related coordination, which creates friction in the development process.
- Subscription prices are extremely variable. Some companies pay ₹50,000 per month to law firms, while others try to save even ₹500 on consultation sessions.
- If a compliance issue occurs, most cases are resolved by paying a fine, which is usually small. However, in a smaller but still significant number of cases, the issue goes to court and is handled by litigators.
- When asked what kind of report would help him take over a case, the lawyer said he does not want any summarized context because he would not trust it and would prefer to manually review all documents to understand the situation himself.
- However, he mentioned it would be very helpful if the system could provide a complete timeline of events, starting from the inception of the idea, through all development stages, up to the point where the issue occurred.
- This timeline should include everything the company, the lawyer, and the AI agent have done up to that point and should clearly highlight the deviation point (the exact moment where things went wrong), which is the most important detail.
- There are generally two kinds of lawyers involved in such matters:
 - Lawyers who handle compliance
 - Lawyers who handle intellectual property (IP)
- Companies may also be reluctant to open up to an AI system because AI does not have privileged communication protections, whereas communication with a lawyer is legally protected under attorney–client privilege.